Parshwanath Capital Ventures Fund
SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108
Fund Manager: CA Deep Dalal | **Sponsor:** Jignesh Shah

IPO ANALYSIS REPORT · RHP

HGS (India) Limited

SME · Seismic equipment: geophones, geophone strings and cables (Manesar, Haryana) · filed – · lead manager(s): Hem Securities Limited · issue size Rs 35 cr · price band: Rs 114-120 · analysed 2026-10-29

CALL **Avoid**

BUSINESS STAGE Mature niche (40-year seismic-equipment maker; revenue cyclical, issue funds machinery replacement)

A 40-year-old Manesar maker of geophones and seismic cables that exports 84% of its sales, with a 37% EBITDA margin and no debt, priced at 11.2x FY26 earnings; but revenue fell 8% in FY26, ten customers give 73% of sales and cash flows from the operating business alone support about Rs 81 a share, so the call is Avoid at Rs 120 (Neutral at the Rs 114 floor).

Revenue FY26 **₹45 cr** CAGR FY24-FY26: **9.1%**	PAT FY26 **₹12 cr** CAGR FY24-FY26: **70.6%**	EBITDA margin **37.4%** FY24	Cash conversion (CFO / PAT, 3 yrs) –
Cash tax rate (3 yrs) –	P/E at reference (post-issue) **11.2x** peer median	Adjusted P/E (earnings quality) **11.2x** reported: **11.2x**	Blended value (Neutral) **₹81.07** vs reference: **-32.4%**
Reference price **₹120** Upper band Rs 120 (fresh 23.26 lakh + OFS 5.54 lakh shares, Rs 34.56 cr). At Rs 120: market cap Rs 130.3 cr post-issue; P/E 11.2x on FY26 PAT (8.8x pre-issue); P/B about 1.1x post-issue; nil borrowings. Objects floor Rs 89.			

Report structure

Business of the company

Industry outlook

Moat and SWOT analysis

Management analysis and governance

Historical financials and ratios

Future outlook and projections

Valuation: DCF and peer comparison (P2P)

Areas to watch and growth drivers

Conclusion

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

At a glance

The call, the key numbers and the basis of the analysis.

CALL

Avoid

STAGE

SME · RHP

A 40-year-old Manesar maker of geophones and seismic cables that exports 84% of its sales, with a 37% EBITDA margin and no debt, priced at 11.2x FY26 earnings; but revenue fell 8% in FY26, ten customers give 73% of sales and cash flows from the operating business alone support about Rs 81 a share, so the call is Avoid at Rs 120 (Neutral at the Rs 114 floor).

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Basis. A book-built **SME issue on NSE Emerge** of up to **28,80,000 shares**: a **fresh issue of 23,26,000 shares** and an **offer for sale of 5,54,000 shares**, including a market-maker portion of 1,45,200 shares. Price band **Rs 114-120**; bid/issue **30-Oct to 3-Nov-2026**. Sole BRLM Hem Securities; registrar KFin

> Technologies (NSE issue page, read 29-Oct-2026). At Rs 120 the issue is **Rs 34.56 cr** (fresh Rs 27.91 cr, OFS Rs 6.65 cr). Lot size, allotment and listing dates were not available when this was written.
>
> **Provisional: the RHP could not be read.** It sits on nsearchives.nseindia.com, which this environment cannot reach, and SME offer documents are not posted on SEBI. Figures are restated financials to **31-Mar-2026** as reproduced from the offer document by public trackers (Multibagg RHP analysis, ScanX, Chanakya, Chittorgarh, HDFC Sky, IPO Watch), cross-checked against each other. **No page cites are possible.** Where a figure is our estimate rather than a reported one, it is labelled. The report will be refreshed when the RHP is reachable.
>
> Judged at the **upper band, Rs 120**. Holding period assumed: 2-3 years. Grey market premium is not used. Written from an investor's point of view under the Fund's standing rules. Depth: **SME snapshot** (the nine parts, shorter).

1. Business of the company

- **What it does:** manufactures **geophones, geophone strings and harnesses, seismic cables, geophysical connectors** and accessories at Manesar, Gurugram. The products are used in oil and gas exploration, mineral exploration, defence research and earthquake monitoring.
- **History:** set up in 1986 as Geosource India Limited, in technical and financial collaboration with Geosource Inc., USA; renamed HGS (India) Limited in 1992.
- **Mix and markets:** geophone strings and harnesses were 66.29% of FY26 revenue (51.15% in FY25). Exports were 84.22% of FY26 revenue across 47 countries (59.15% in FY25). Imports were 73.65% of FY26 purchases.
- **Customers:** the top 10 customers were 72.58% of FY26 revenue and 90.05% in the stub period to April 2026, with no long-term contracts.
- **Promoters:** Anil Dass, Shashi Singh, Cecilia Margareta Singh Ramel and Sowar Private Limited.

Stage of the business

Classification: mature niche.

Evidence	Reading
Revenue from operations Rs 49.08 cr (FY25) → Rs 45.16 cr (FY26)	Small and cyclical; no growth trend in the data
PAT Rs 4.00 cr (FY24) → Rs 10.51 cr → Rs 11.64 cr; EBITDA margin 37.4% in FY26	Very profitable niche
Nil borrowings; net worth about Rs 89 cr	Balance-sheet strength
Issue funds machinery replacement, a gold-plating unit and a building extension	Renewal of an old plant, not a large capacity step-up

2. Industry outlook

- **Demand:** seismic sensors and cables are consumables for land and transition-zone seismic surveys. Demand follows oil and gas exploration budgets, and increasingly mineral (critical minerals), geothermal and monitoring work.
- **Structure:** a small global niche led by a few large equipment makers. Specialist suppliers like HGS compete on cost, customisation and lead times, largely in export markets.

- **Read for an investor:** a profitable niche with a cyclical, lumpy order flow. Revenue can swing with a few large survey contracts, which matches the customer concentration seen here.

3. Moat and SWOT analysis

Moat

- **Technical know-how and track record** since 1986 in a specialised product with few qualified suppliers.
- **Export relationships** across 47 countries.
- **Limits:** concentrated customers with no long-term contracts, dependence on imported components, and much larger global competitors.

STRENGTHS	WEAKNESSES
• EBITDA margin 37.4% and PAT margin 25.8% in FY26 • Nil borrowings • Exports to 47 countries (84% of revenue) • Established since 1986 (formerly Geosource India)	• Revenue fell 8% in FY26 • Top 10 customers 73% of revenue, no long-term contracts • Imports 74% of purchases • Small scale (Rs 45 cr revenue)
OPPORTUNITIES	**THREATS**
• Mineral and geothermal exploration, earthquake monitoring and defence research • New machinery and in-house gold plating improve cost and quality • Acquisitions (unidentified) from the issue	• Oil and gas exploration downturns • Large global seismic-equipment makers • Currency and import-cost swings

4. Management analysis and governance

- **Promoters:** two individuals, a family member and a promoter company (Sowar Private Limited). Trackers give conflicting promoter holdings (67.53% or 87.3% pre-issue; 53.06% or 64.34% post-issue), so the RHP is needed. The offer includes an OFS of 5.54 lakh shares.
- **Capital returned before the IPO:** a buyback in FY25 followed by a Rs 7.68 cr dividend. This explains net worth falling from Rs 95.04 cr (FY24) to Rs 85.16 cr (FY25). It is legitimate, but it means cash went to existing holders shortly before new money is raised.
- **Board, pay, related-party transactions and litigation:** not available without the RHP.
- **Read:** an established, debt-free, promoter-run company. No governance issue is visible in the data available, but the SME checks that matter most remain open until the RHP is read.

5. Historical financials and ratios

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

Rs crore	FY24	FY25	FY26
Revenue from operations (FY24 total income)	37.93	49.08	45.16
Other income	n.a.	4.37	3.75
Total income	37.93	53.45	48.91
EBITDA (37.40% margin)	n.a.	n.a.	16.89
PAT	4.00	10.51	11.64
PAT margin (on revenue)	10.5%	21.4%	25.8%
Net worth	95.04	85.16	89.27
Total assets	113.70	104.04	110.12
Borrowings	n.a.	n.a.	Nil
Cash and bank balances	n.a.	6.93	5.83
RoNW / ROCE (FY26, issuer)			13.04% / 17.13%

Sources: Multibagg RHP analysis, Chanakya, ScanX, Chittorgarh, HDFC Sky. One tracker gives a 38.98% EBITDA margin; reserves of Rs 90.66 cr are reported elsewhere, which would put net worth nearer Rs 99 cr. The RHP will settle both. Cash flow, receivables and inventory are not available.

At the upper band (Rs 120): post-issue shares 1.0859 crore; market cap **Rs 130.3 cr**. P/E **11.2x** on FY26 PAT (8.8x on pre-issue shares). Post-issue net worth about Rs 115.5 cr, P/B about 1.1x. At Rs 114: P/E 10.6x.

Positives and points to monitor

Positives	Points to monitor
EBITDA margin 37.4%, PAT margin 25.8%	Revenue down 8% in FY26
Nil borrowings	Top 10 customers 73% of revenue
Objects floor Rs 89, below the band	Other income 24% of pre-tax profit, source unclear
P/E 11.2x	Buyback and dividend before the IPO; OFS

Is the reported P/E right? Earnings quality at Rs 120

Reported P/E is a fair measure: the adjustments found move FY26 PAT by +0.0%, within the 10% threshold. On the FY24-FY26 average, which smooths one-year items, the P/E is 14.9x reported and 14.9x adjusted.

BASIS	PAT (RS CR)	EPS (RS)	P/E
Reported FY26	11.64	10.72	**11.2x**
FY24-FY26 average, reported	8.72	8.03	**14.9x**
FY24-FY26 average, adjusted	8.72	8.03	**14.9x**

Items found (pre-tax, Rs crore; negative reduces profit)

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PLACE
Other income in profit Other income Rs 4.37 cr (FY25) and Rs 3.75 cr (FY26), about 24% of FY26 pre-tax profit. Likely treasury income, forex and export incentives; it is real income if the treasury stays, but not operating. Shown for information; excluding it gives a higher P/E.	0	-4.37	-3.75	No (information)	Medium	14.8x	trackers (total income less revenue from operations)

Also checked, no adjustment needed

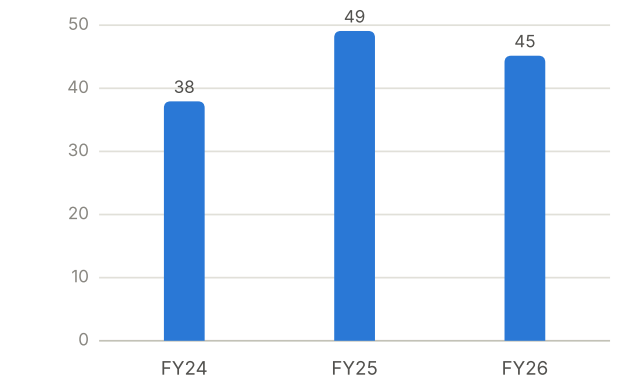
✓ PASS PAT rose 11% in FY26 while revenue from operations fell 8%: margin expansion (mix shift to geophone strings) explains it on the tracker data; not tested against the notes

✓ PASS FY24 net worth (Rs 95.04 cr) above FY25 (Rs 85.16 cr) implies a distribution or capital reduction in FY25; not explained by trackers

✓ PASS Cash tax, capitalised costs and exceptional items could not be tested without the RHP

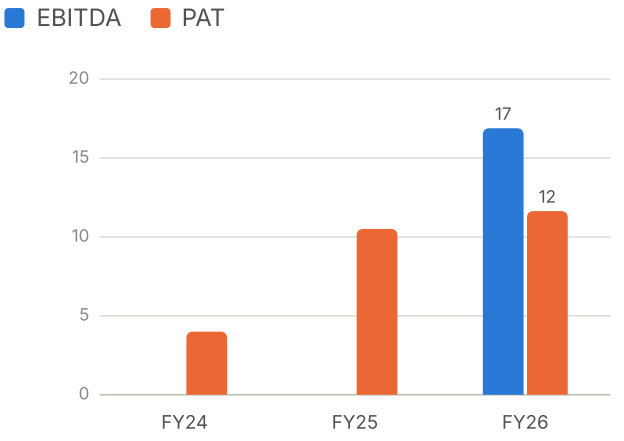
Revenue from operations

Rs crore



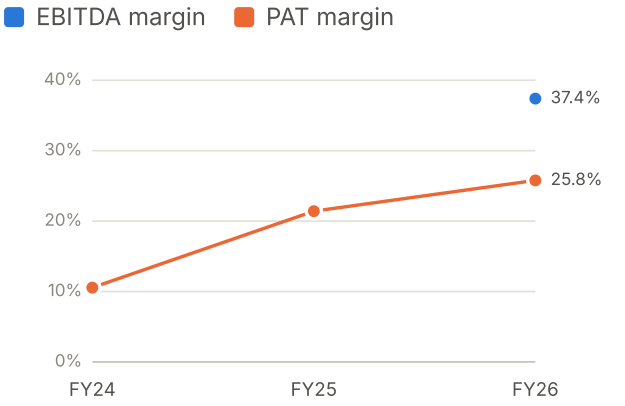
EBITDA and PAT

Rs crore



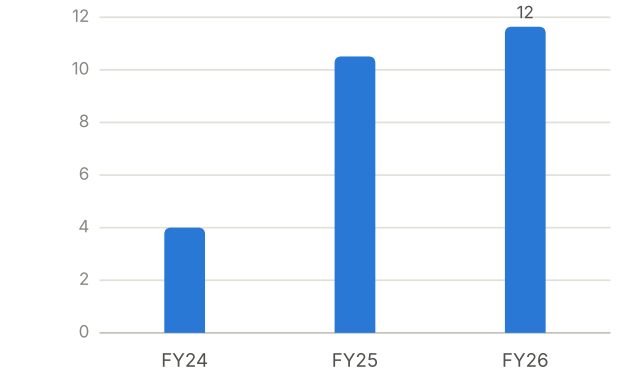
Margins

% of revenue



Profit and operating cash flow

Rs crore



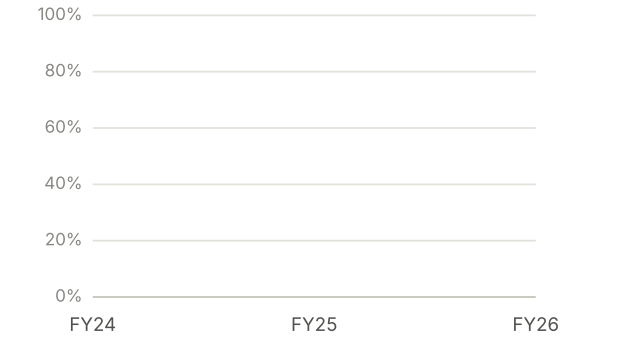
Working capital

Rs crore, year end



Net working capital

% of revenue



6. Future outlook and projections

Neutral case from the valuation model; Bear and Bull are in the valuation workbook.

- **Use of the fresh issue (Rs 27.91 cr):** replacement plant and machinery at Manesar Rs 15.05 cr; second-floor building work Rs 3.26 cr; in-house gold-plating facility Rs 1.05 cr; the balance for unidentified

acquisitions and general corporate purposes.

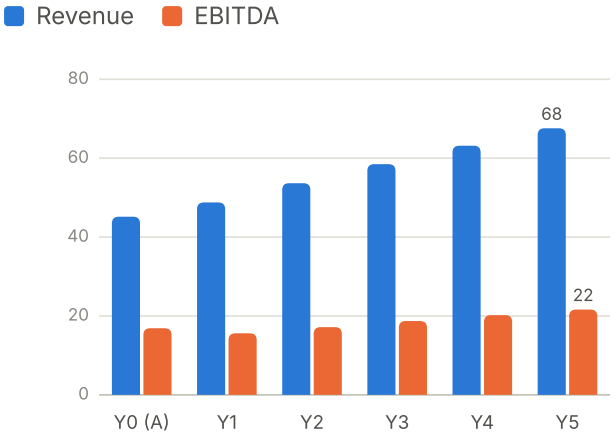
- **What it changes:** mostly renewal and cost efficiency (in-house plating), not a large capacity addition. Growth depends on survey activity and new export customers.
- **Neutral projection used in the model (Rs crore):**

	FY26 (actual)	Y1	Y2	Y3	Y4	Y5
Revenue growth	-8%	8%	10%	9%	8%	7%
Revenue	45.16	48.77	53.65	58.48	63.16	67.58
EBITDA (32%)	16.89	15.61	17.17	18.71	20.21	21.62
Free cash flow to firm	10.3	-4.6	-0.6	8.0	8.8	9.6

Years 1-2 carry the Rs 19.36 cr of issue-funded machinery and building capex. The Neutral margin of 32% is roughly the FY25 level (FY25 PAT margin was 21.4%, against 25.8% in FY26). The FY26 free cash flow is our estimate (see section 7).

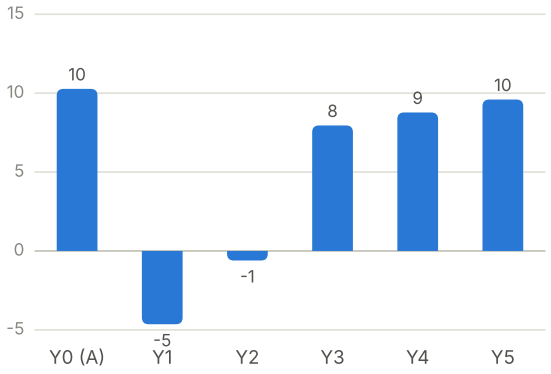
Projected revenue and EBITDA (Neutral)

Rs crore; Y0 is the latest audited year



Projected free cash flow to firm (Neutral)

Rs crore

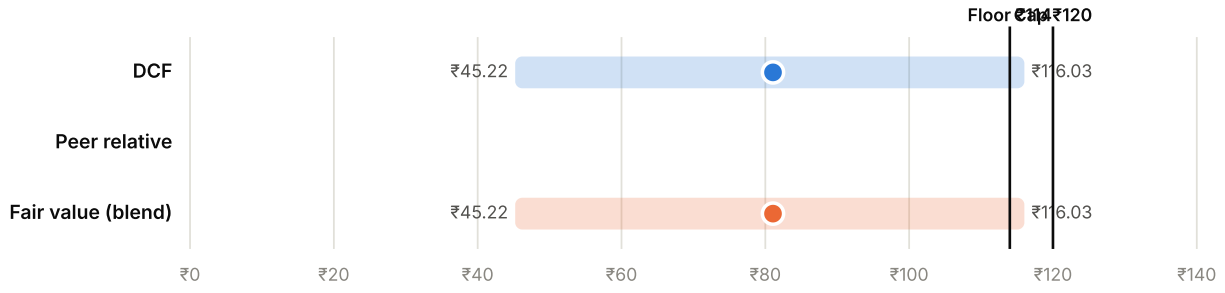


7. Valuation: DCF and peer comparison (P2P)

DCF and peer values shown separately, then blended. Reference: Upper band Rs 120 (fresh 23.26 lakh + OFS 5.54 lakh shares, Rs 34.56 cr). At Rs 120: market cap Rs 130.3 cr post-issue; P/E 11.2x on FY26 PAT (8.8x pre-issue); P/B about 1.1x post-issue; nil borrowings. Objects floor Rs 89.

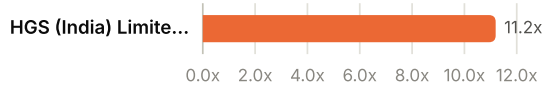
Value per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical lines mark the price band.



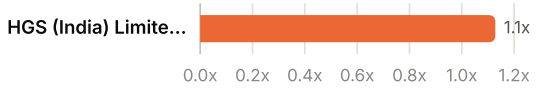
Peer P/E

Issuer at the reference price (orange) vs listed peers



Peer P/B

Issuer on post-issue net worth



Scenario summary

RS/SHARE	DCF	RELATIVE	FAIR VALUE	VS REFERENCE
Bear	₹45.22	–	**₹45.22**	-62.3%
Neutral	₹81.07	–	**₹81.07**	-32.4%
Bull	₹116.03	–	**₹116.03**	-3.3%

WACC **14.4%**

Terminal value share of EV **80.7%**

Reverse DCF: what the reference price assumes

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	3.6%	4.5%
implied WACC at terminal g	15.4%	14.4%
required EBIT margin (steady state)	36.7%	27.4%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	35.4%

The price asks the business to deliver 9.6 times its current free cash flow, in perpetuity.

Sensitivity: WACC vs terminal growth

DCF value per share (Rs). Blue above, red below the reference.

Terminal growth

WACC	3.5%	4.0%	4.5%	5.0%	5.5%
12.4%	₹94.18	₹95.69	₹97.37	₹99.25	₹101.39
13.4%	₹86.17	₹87.18	₹88.29	₹89.51	₹90.87
14.4%	₹79.66	₹80.33	₹81.07	₹81.86	₹82.73
15.4%	₹74.27	₹74.72	₹75.2	₹75.71	₹76.26
16.4%	₹69.74	₹70.04	₹70.34	₹70.66	₹71

Below reference — Above reference

Sensitivity: working capital vs EBITDA margin

DCF value per share (Rs).

EBITDA margin

NWC % rev	30.0%	31.0%	32.0%	33.0%	34.0%
29%	₹77.64	₹80.86	₹84.08	₹87.31	₹90.53
32%	₹76.13	₹79.35	₹82.58	₹85.8	₹89.02
35%	₹74.62	₹77.84	₹81.07	₹84.29	₹87.52
38%	₹73.11	₹76.34	₹79.56	₹82.78	₹86.01
41%	₹71.6	₹74.83	₹78.05	₹81.28	₹84.5

Below reference — Above reference

Peer comparison (P2P)

No listed Indian peer is reported from the offer document. HGS is a niche seismic-equipment maker, and the tracker "peer" tables list unrelated recent SME IPOs. The relative method is therefore not used, and fair value is the DCF alone. For context only: at 11.2x FY26 earnings and about 1.1x book, the price is below the roughly 15.5x average of recent SME manufacturing IPOs (IPO Platform). That is not a like-for-like comparison.

DCF and fair value

Inputs (FY26; Rs crore): revenue 45.16; EBITDA 16.89; PAT 11.64; net worth 89.27; net debt **-5.83** (nil borrowings, cash and bank Rs 5.83 cr). **Estimates, not reported:**

- D&A and capex Rs 4.5 cr each.
- Working capital about Rs 16 cr (35% of revenue).

The fresh issue is credited net of 6% assumed expenses (Rs 26.24 cr). IPO-funded capex is Rs 19.36 cr. The OFS does not change the share count.

Cost of capital (house CAPM): risk-free 6.5%, beta 1.10, ERP 7.0%, size premium 2.0%; cost of equity 16.2%; pre-tax cost of debt 9.5%; debt weight 20%. **WACC 14.38%**; terminal growth 4.50%; terminal ROIC 18%. Terminal value is 81% of enterprise value.

Rs per share	Bear	Neutral	Bull
DCF (= fair value; no peers)	45.22	81.07	116.03
Against Rs 120 (upper band)	-62.3%	-32.4%	-3.3%
Against Rs 114 (floor)	-60.3%	-28.9%	+1.8%

- **Scenario drivers:**
  - Growth: Bear 0-4%, Neutral 7-10%, Bull 8-15% a year.
  - EBITDA margin: 25% / 32% / 37%.
  - Working capital: 40% / 35% / 30% of revenue.
  - Terminal ROIC: 14% / 18% / 24%.
- **Sensitivity (Neutral DCF):**
  - WACC 12.4-16.4% gives Rs 97-70.
  - Margin 30-34% gives Rs 75-88.
  - Working capital 29-41% moves value by only about Rs 3.
  - The discount rate and margin are the levers.
- **Objects floor:** Rs 89 a share (Rs 19.36 cr of specific objects over 23.26 lakh fresh shares, after expenses). This is above the Neutral DCF, a sign that the price leans on assets and current earnings rather than on growth.
- **Reverse DCF at Rs 120:** the price asks for 9.6 times current free cash flow in perpetuity. **In plain words: the price is about right if the FY26 margin (37%) and cash flow are sustained. That is roughly our Bull case, which reaches Rs 116.** The Neutral case assumes the margin settles nearer the FY25 level.
- **What the model does not credit:** the large net worth (Rs 89 cr against Rs 45 cr revenue) and Rs 3.75 cr of other income suggest there may be treasury assets beyond the Rs 5.83 cr of reported cash. None is reported by the trackers, so none is credited. If such assets exist, each Rs 10 cr adds about Rs 9 a share.

8. Areas to watch and growth drivers

Growth drivers to track

- **Order flow:** revenue returning to growth after the 8% FY26 fall; new export customers.
- **Margin:** EBITDA margin holding above 32% as geophone strings dominate the mix.
- **Capex delivery:** commissioning of the replacement machinery and the gold-plating unit.
- **Acquisitions:** what the unidentified-acquisition money is used for.

Points to monitor

Item	Now	Why it matters to an investor
Customer concentration	Top 10 = 72.58% (FY26), 90.05% (stub)	Loss of one customer moves revenue sharply
Other income	Rs 3.75 cr, 24% of pre-tax profit	Source decides whether it is recurring and whether assets are missing from the model
Revenue trend	-8% in FY26	Cyclical demand
Promoter holding	Conflicting tracker figures	Post-issue alignment
RHP details	Cash flow, investments, RPTs, litigation	Not yet read

What would change our view

- **Towards Neutral:** allotment at Rs 115 or below (the call rule reads Neutral there); or RHP evidence that FY26 margins are structural.
- **Towards Subscribe:** RHP showing treasury investments of about Rs 40 cr or more behind the other income; that alone would lift the Neutral value above Rs 115.
- **Further towards Avoid:** a weak FY27 order book or a qualified audit report.

Risks

- Exploration-cycle downturns.
- Customer concentration and the absence of long-term contracts.
- Import dependence and currency swings.
- Execution of the machinery replacement.
- SME liquidity.

9. Conclusion

CALL

Avoid

STAGE

SME · RHP

A 40-year-old Manesar maker of geophones and seismic cables that exports 84% of its sales, with a 37% EBITDA margin and no debt, priced at 11.2x FY26 earnings; but revenue fell 8% in FY26, ten customers give 73% of sales and cash flows from the operating business alone support about Rs 81 a share, so the call is Avoid at Rs 120 (Neutral at the Rs 114 floor).

Business stage

Mature niche (40-year seismic-equipment maker; revenue cyclical, issue funds machinery replacement)

Avoid at Rs 120 (upper band), provisional and close to the line.

The investment case. A debt-free, 40-year-old niche maker of seismic sensors and cables. It exports 84% of its sales, earns a 37% EBITDA margin and is priced at 11.2x FY26 earnings and about 1.1x book. The reported P/E is a fair measure on the data available.

What holds the value down.

- Revenue fell 8% in FY26.
- Ten customers give 73% of sales, with no long-term contracts.
- About a quarter of pre-tax profit is other income whose source is not yet known.
- Cash flows from the operating business support about Rs 81 a share in our Neutral case.
- With no listed peer, there is no market cross-check.

Valuation. Fair value Rs 45 / **Rs 81** / Rs 116 (Bear / Neutral / Bull).

Call rule. The Neutral value is 32.4% below the upper band, and the Bull value is also below it, so the call is **Avoid**. At the Rs 114 floor the Neutral value is 28.9% below, which would read Neutral. No material governance or accounting issue was found.

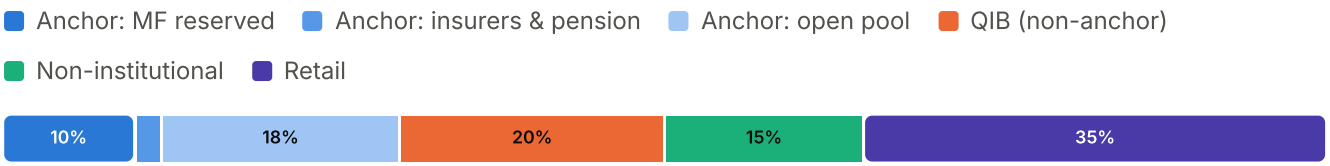
The call is sensitive to two items the RHP will settle: the source of other income (and any treasury behind it), and whether FY26 margins are structural. Either could move the call to Neutral or better. This report is **provisional**, built without the RHP, and will be refreshed when the RHP is read.

Appendix

Offer structure and lock-ins, lead managers' track record, diligence checks and supporting detail.

Issue split by investor category (Rs 35 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Anchor - tranche 1	4.32	30
Anchor - tranche 2	4.32	90
Promoters' minimum contribution (20% of post-issue capital)	21.72	1095

Diligence checks

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✓ PASS	Pre-issue market cap Rs 102.39 cr at Rs 120 implies 85.33 lakh pre-issue shares; plus 23.26 lakh fresh = 108.59 lakh, matching the Rs 130.30 cr post-issue market cap. Pre-issue P/E 8.80x x PAT Rs 11.64 cr reconciles.	trackers
2	Cash flow vs profit	○ OPEN	Operating cash flow not available without the RHP.	
3	Current vs deferred tax	○ OPEN	Current vs deferred tax split not available.	
4	Related-party capex & subsidiaries	! WATCH	FY25 buyback followed by a Rs 7.68 cr dividend before the IPO (explains net worth falling from Rs 95.04 cr to Rs 85.16 cr). Cash returned to existing holders shortly before raising fresh money; related-party transactions otherwise not available. One promoter is a company (Sowar Private Limited).	trackers
5	Objects arithmetic as price floor	✓ PASS	Specific objects Rs 19.36 cr (replacement plant and machinery Rs 15.05 cr, second-floor building at Manesar Rs 3.26 cr, gold-plating facility Rs 1.05 cr) over 23.26 lakh fresh shares = Rs 89 a share after 6% assumed expenses, below the Rs 114 floor. The balance of the Rs 27.91 cr fresh issue is for unidentified acquisitions and GCP.	objects (trackers)
6	Revaluation reserve	○ OPEN		
7	Goodwill vs tangible equity	○ OPEN	Goodwill and intangibles not available.	
8	Customer / supplier / geographic concentration	! WATCH	Top 10 customers 72.58% of FY26 revenue (90.05% in the stub to Apr-2026), no long-term contracts; exports 84.22% of FY26 revenue; geophone strings 66.29% of revenue; imports 73.65% of purchases. Normal for a niche seismic-equipment exporter, but concentration is high.	trackers
9	Contingent liabilities	○ OPEN	Contingent liabilities and litigation not available. Borrowings nil at 31-Mar-2026 and 30-Apr-2026 (bank debit balances Rs 0.46 cr not treated as borrowings).	
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	○ OPEN	Auditor and any qualifications not available.	
R2	CARO / audit trail	○ OPEN		
R3	Monitoring agency	– N.A.	Fresh issue Rs 27.91 cr, below Rs 50 cr: monitoring agency not mandatory.	
R4	Eligibility re-computation	○ OPEN		
R5	SME conditions	○ OPEN	SME eligibility appears met (net worth Rs 89 cr, profitable); not re-computed from the RHP.	
R6	Lead-manager track record	○ OPEN	Hem Securities (sole BRLM): an active SME lead manager; track record not compiled in this run.	

#	CHECK	RESULT	FINDING	PAGE
R7	Firm means of finance	○ OPEN		

Under the Fund's rules a check is marked Fail only for a material issue; normal features of the business are Watch items, covered in part 8.

Appendix A: Offer, anchor book and lock-ins

- **Structure:**
  - Fresh issue of 23,26,000 shares (Rs 27.91 cr at Rs 120).
  - OFS of 5,54,000 shares (Rs 6.65 cr).
  - Market-maker portion of 1,45,200 shares.
  - Net offer: QIB up to 50%, NII at least 15%, retail at least 35%.
- **Objects:** machinery Rs 15.05 cr; building Rs 3.26 cr; gold plating Rs 1.05 cr; unidentified acquisitions and GCP the balance.
- **Anchor book:** trackers show no anchor reservation; not confirmed.
- **Lock-ins:**
  - Promoters' minimum contribution (20% of post-issue capital, about 21.72 lakh shares) for three years.
  - The balance of promoter holding as per SEBI ICDR for SME issues.

Appendix B: Merchant bankers

Hem Securities Limited (sole BRLM), an active SME lead manager. Its track record is not compiled in this run.

Appendix C: Diligence checks

#	Check	Status	Finding
1	Share count	PASS	85.33 lakh pre-issue + 23.26 lakh fresh reconcile to the Rs 130.3 cr post-issue market cap
2	Cash flow vs PAT	OPEN	Not available
3	Current vs deferred tax	OPEN	Not available
4	Related-party dealings / capital returns	WATCH	FY25 buyback and Rs 7.68 cr dividend before the IPO
5	Objects as price floor	PASS	Rs 89, below the band
7	Goodwill	OPEN	Not available
8	Concentration	WATCH	Top 10 customers 72.58%; exports 84.22%; imports 73.65% of purchases
9	Contingent liabilities / debt	OPEN	Nil borrowings; contingent liabilities not available
R1	Auditor	OPEN	Not available
R3	Monitoring agency	N.A.	Fresh issue below Rs 50 cr
R5	SME eligibility	OPEN	Appears met
R6	BRLM track record	OPEN	Not compiled

No check met the Fund's test for a material issue, but most checks are open until the RHP is read.

Appendix D: Data gaps and verification

Data gaps

Item	Severity	Where to source
RHP not obtainable; tracker figures, no page cites	High	RHP (NSE Emerge)
Source of other income; any treasury investments beyond Rs 5.83 cr cash	High	RHP balance sheet and notes
Cash flow, receivables, inventory (working capital estimated)	High	RHP restated financials
Reason for the FY26 revenue fall; FY27 order position	Medium	RHP MD&A
Promoter holding (conflicting figures)	Medium	RHP capital structure
Listed peers in the basis for offer price	Medium	RHP
Lot size, allotment and listing dates	Low	NSE issue page

Verification

- **Valuation ratios reconcile:**
  - Pre-issue P/E 8.80x x PAT Rs 11.64 cr = Rs 102.4 cr = 85.33 lakh shares x Rs 120.
  - Post-issue market cap Rs 130.3 cr = 108.59 lakh shares x Rs 120.
  - P/B about 1.13x post-issue matches net worth of about Rs 89 cr plus net proceeds.
- **Margins reconcile:**
  - PAT margin 25.77% x revenue Rs 45.16 cr = Rs 11.64 cr.
  - Total income less revenue gives other income of Rs 3.75 cr (FY26) and Rs 4.37 cr (FY25).
- **Workbooks:** the toolkit verification gate passed on this build.

Sources: Multibagg RHP analysis, Multibagg financials, Multibagg dividend and buyback, Multibagg debt, ScanX, Chanakya, Chittorgarh, HDFC Sky, IPO Platform, read 29-Oct-2026.

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Investor grievances: fundmanager@parshwanath.in. Complaints may also be lodged with SEBI through SCORES at https://scores.sebi.gov.in.